Stocks/shares

Firstly, ‘shares’ and ‘stocks’ are interchangeable terms. In North America they’re often referred to as stocks, while ‘down under’ we go by shares.

A share is simply a small piece of a company; when a company sells a portion of its ownership, it does so by issuing stocks/shares. When someone says ‘I’m investing in Apple’ it means the same thing as ‘I’m buying Apple shares’. It also means ‘I’m a shareholder of Apple’.

Having a small piece of a company technically makes you a shareholder of a company, meaning you own that small portion of the company. So if you bought a share of Apple today, you’d own part (albeit a tiny part) of the company. Better update your LinkedIn profile.

By being a shareholder of any company, you get to reap the rewards of that business’s success: if it makes a profit you may get paid dividends, and if the company does well, the stock price usually goes up over time. But this also means you get to deal with the downfalls of a company; when the company lands in hot water, its price can sometimes falter too. For example, when you buy $1000 worth of Boeing shares, there is a risk that your $1000 is going to drop if a Boeing plane has a malfunction that reflects poorly on the company.

Shares are known to be a bit volatile compared to the other investing types we’ll get into, such as funds or bonds. It’s because they are at their core just one investment type. When it comes to the saying ‘don’t put all your eggs in one basket’, it’s often referring to the idea that it may not be wise to only hold shares of one company in your entire portfolio. Even five companies aren’t enough, but we’ll get into that in chapter 9 when we speak about diversifying.

Shareholders also get to have a say in how the company runs, but to a pretty small scale. You can go to shareholder meetings, although these are often virtual, and vote on how the company is run.

The voting includes stock-standard items such as electing the board of directors. Yes, that’s right, you can technically vote Larry Page off the board of Alphabet Inc. Their 2021 meeting, for example, voted on appointing their accounting firm, Ernst and Young, and whether they should add a human